



CA Foundation — Business Laws

Model Answers — September 2026 Examination (Paper 2)
Act-wise / Unit-wise, with Paper Analysis and Marking Scheme

Coverage: All 6 questions of the paper (Q1 compulsory; Q2–Q6, attempt any 4 of 5)

Format used: Every question is reproduced in full as printed on the paper, immediately followed by the model answer. Case-study sub-questions are answered in Provision → Application → Conclusion (PAC) format; descriptive questions are answered as per marks weightage.

Part I — Paper Analysis

1. Paper Pattern

- Total Questions: 6 | Total Marks: 100 | Time: 3 Hours
- Question 1 is compulsory and carries 20 marks, split into three case-study/conceptual sub-parts — (a) 7, (b) 7, (c) 6.
- Questions 2 to 6 are optional — candidates must attempt any FOUR of the five, each worth 20 marks (3 sub-parts each, typically a-b-c).
- Working notes are required to be shown as part of the answers — this is examiner-emphasised on the cover page itself.
- The paper is heavily fact-pattern / case-study driven: of the 20 sub-questions across the paper, 13 are built around a narrative fact situation requiring issue-spotting and application (PAC format), and 7 are direct descriptive/conceptual questions.
- Numerical computation is tested within legal case studies rather than as standalone sums — e.g., Sec 37 (Partnership Act) settlement of a deceased partner's account, and Sec 73 (Contract Act) quantification of damages for anticipatory breach — confirming ICAI's continuing shift (since May 2026) towards testing comprehension of facts followed by application of provisions, not rote recall.

2. Act-wise / Topic-wise Weightage Distribution

1. Indian Contract Act, 1872 — 32 marks (Q1(a) 14, Q3(c) 6, Q4(a) 5, Q5(c) 6, Q6(b) 6) — the single largest weightage, as is typical.
2. Companies Act, 2013 — 21 marks (Q1(b) 7, Q2(b) 7, Q3(b) 5).
3. Indian Partnership Act, 1932 — 20 marks (Q1(c) 7, Q3(a) 7, Q5(b) 4).
4. The Sale of Goods Act, 1930 — 21 marks (Q2(a) 5, Q5(a) 8, Q6(c) 5).
5. The Negotiable Instruments Act, 1881 — 14 marks (Q4(b) 7, Q6(a) 7).
6. The Limited Liability Partnership Act, 2008 — 6 marks (Q2(c)).
7. Indian Regulatory Framework (Ministry of Home Affairs) — 6 marks (Q4(c)).

3. Key Observations for Preparation

1. Contract Act remains the backbone of the paper — but note it was tested almost entirely through applied doctrine (anticipatory breach, appropriation of payments, wagering, privity/consideration rules) rather than pure definitions, and one full case study (Q1(a)) blends three separate Contract Act concepts — general offer/Sec 8, revocation/Secs 4-5, and third-party consideration/Sec 2(d) — in a single fact pattern.
2. Companies Act questions this year were doctrine-heavy (Indoor Management/Turquand's Rule, Lifting of Corporate Veil, Entrenchment of Articles under Sec 5) rather than procedural (no questions on incorporation forms, share capital procedure, or meetings) — students should not neglect the doctrinal chapters in favour of procedural ones.
3. Partnership Act was tested through a single elaborate numerical-cum-conceptual case study (Q3(a)) combining Sec 37 (outgoing partner's share of subsequent profits), Sec 38 (revocation of continuing guarantee on reconstitution), on top of a separate conceptual question on partnership property (Q1(c)) and implied/emergency authority (Q5(b)) — Units on Reconstitution and Property of the firm both need thorough revision.
4. Sale of Goods Act questions tested transfer of property under 'sale or return' (Sec 24) and the unpaid seller's real remedies — lien and resale, with the perishable-goods exception to notice (Sec 54) — both high-frequency ICAI favourites.

5. The Negotiable Instruments Act was tested through a composite, calculation-flavoured case study on inland/foreign bills, excused delay in presentment, and compensation on dishonour (Secs 11-12, 71, 117) alongside a conceptual question on inchoate instruments and cheque-vs-bill distinctions.

6. As always 6-mark question from the 'Indian Regulatory Framework' unit (Ministry of Home Affairs) is a reminder that this often-skipped introductory chapter should not be ignored.

7. LLP Act, 2008 was tested lightly (6 marks) but from a recently amended provision (Small LLP thresholds, LLP (Amendment) Act 2021) — students must keep pace with amendments.

Examiner's Note — Where Marks Are Typically Lost: In case studies, marks are lost not for knowing the law but for skipping the 'Application' step — i.e., quoting the section correctly but failing to connect its specific words ("knowledge of irregularity", "perishable goods", "comes to his knowledge", "change in constitution") to the exact facts given. Students should always write the Provision, then explicitly map each fact to that provision, before stating the Conclusion — a conclusion without the linking Application rarely earns full marks.

Part II — Model Answers (Act-wise / Unit-wise)

Each answer below is cross-referenced to its question number on the paper. Case-study sub-questions follow the Provision → Application → Conclusion (PAC) format; descriptive questions are answered to the marks allotted.

A. The Indian Contract Act, 1872 (Total: 32 marks)

Q1(a) — Unit 1 (Nature of Contract) & Unit 2 (Consideration) [7 Marks]

QUESTION (AS SET ON THE PAPER):

Green Wave Solutions is a new entrant in software development owned by Mr. Arjun. The business had bagged a software development contract. Its employees were struggling to overcome a complex coding bug while developing the software. To resolve this, Mr. Arjun sent an e-mail to all employees on 1st May 2026 stating: "My father has agreed to pay ₹ 50,000 as bonus out of his personal savings to any employee who successfully fixes the bug."

Meera, a junior developer, saw the e-mail and immediately began working on the bug after her regular shifts. She did not inform Mr. Arjun that she had started the task. Meera spent ₹ 10,000 to pay a consultant out of her own pocket to guide her. On 5th May 2026, Mr. Arjun sent a follow-up e-mail at 10.00 AM stating, "Please disregard the previous offer. We have decided to hire an external consultant to fix the bug instead". However, due to a sudden server crash, this e-mail leaves Mr. Arjun's mail box but lands in Meera's inbox only on May 7th at 9.00 AM when the server is restored.

Unaware of the crash or revocation, on May 6th at 4.00 PM, Meera successfully fixed the bug and submitted the solution to Mr. Arjun's office. Mr. Arjun refused to pay the bonus amount of ₹ 50,000, claiming that: 1. He had already revoked the offer before she submitted the solution; 2. Meera never formally communicated her acceptance of the offer; 3. Fixing the bug fell under her ordinary duties, and since the money was promised by his father (a third party), there was no valid legal consideration.

Referring to the provisions of the Indian Contract Act, 1872: (i) Whether Meera was required to communicate her acceptance of the offer to Mr. Arjun. (ii) Whether the revocation of offer by Mr. Arjun is legally valid and binding on Meera. (iii) Whether the consideration of ₹ 50,000 provided by a third party (the father) is lawful and enforceable.

Facts: Mr. Arjun (Green Wave Solutions) e-mailed all employees on 1 May 2026 offering ₹50,000 (from his father's personal savings) to any employee who fixed a coding bug. Meera, a junior developer, began work without informing Arjun, spending ₹10,000 of her own money on a consultant. On 5 May 2026 at 10:00 AM, Arjun sent a revocation e-mail, which — owing to a server crash — reached Meera's inbox only on 7 May at 9:00 AM. Unaware of the crash or the revocation, Meera fixed the bug and submitted the solution on 6 May at 4:00 PM. Arjun refused to pay, raising three defences.

(i) Was Meera required to communicate her acceptance to Mr. Arjun?

Referring to the Indian Contract Act, 1872, decide whether Meera was required to communicate acceptance of the offer.

Provision:

Section 8 of the Indian Contract Act, 1872 provides that performance of the conditions of a proposal is an acceptance of the proposal. Where an offer is a general offer — addressed to the public/a class of persons at large, as opposed to a specific offeree — it is accepted by anyone who, with knowledge of the offer, performs the act required by it; prior or separate communication of acceptance to the offeror is not necessary (the principle recognised in *Carlill v. Carbolic Smoke Ball Co.* and consistent with Sec. 8).

Application:

Mr. Arjun's e-mail was addressed to "all employees" — it is a general offer of a unilateral nature, promising a reward for a specified act (successfully fixing the bug), not a bilateral offer requiring a reciprocal promise back.

Meera, with knowledge of the offer, performed the very act called for by it (she fixed the bug). Under Sec. 8, this performance is itself the acceptance; no separate, formal intimation to Mr. Arjun before or during her work was legally necessary.

Conclusion: Meera was not required to separately communicate her acceptance to Mr. Arjun. Her act of fixing the bug and submitting the solution itself constituted valid acceptance under Section 8.

(ii) Is Mr. Arjun's revocation of 5 May legally valid and binding on Meera?

Decide whether the revocation e-mail is effective against Meera, given the sequence of the server crash and her acceptance.

Provision:

Section 5 provides that a proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, but not afterwards.

Section 4 provides that the communication of a revocation is complete: as against the person who makes it, when it is put into a course of transmission so as to be out of his power; as against the person to whom it is made, only when it comes to his knowledge.

Application:

The revocation e-mail left Mr. Arjun's control (was put into transmission) on 5 May at 10:00 AM — this completed the revocation as against Mr. Arjun himself on that date. However, as against Meera, the revocation is complete only when it comes to her knowledge — which, owing to the server crash, was 7 May at 9:00 AM.

Meera, unaware of the crash or the revocation, had already performed the act (fixed the bug) and submitted the solution on 6 May at 4:00 PM — i.e., her acceptance under Sec. 8 was already complete before the revocation came to her knowledge on 7 May.

Since revocation must reach the offeree's knowledge before his acceptance is complete (Sec. 4 read with Sec. 5), and here it did not, the revocation was too late as against Meera.

Conclusion: Mr. Arjun's revocation is NOT legally valid or binding on Meera, because it came to her knowledge only after her acceptance (by performance) was already complete. Mr. Arjun remains bound by his original offer.

(iii) Is the ₹50,000 consideration, though sourced from the father (a third party), lawful and enforceable?

Decide the validity of consideration where the fund is promised by a third party (Arjun's father) and not by the promisor (Arjun) himself.

Provision:

Section 2(d) of the Indian Contract Act, 1872 defines consideration as something done or abstained from "at the desire of the promisor", by "the promisee or any other person". Unlike English law's requirement that consideration move from the promisee, Indian law expressly permits consideration to move from a third person — a position affirmed in the landmark case of *Chinnaya v. Ramayya* (1882).

Application:

Here, Mr. Arjun is the promisor and Meera the promisee. Meera did the act (fixing the bug) at the desire of Mr. Arjun (as expressed in his e-mail) — this is precisely what Sec. 2(d) requires.

The fact that the ₹50,000 would be funded from his father's personal savings (a third person) does not detract from the existence of valid consideration between Arjun and Meera; the source of the funds is immaterial to enforceability.

Mr. Arjun, as the person who made the promise, is the promisor bound by it — he cannot escape liability by pointing to his father (who is not a party to the contract) as the actual source of money.

Conclusion: The consideration of ₹50,000 is lawful and enforceable notwithstanding that it is to be sourced from a third party (the father), since Sec. 2(d) expressly permits consideration to move from "any other person". Mr. Arjun's third defence also fails.

Q3(c) — Unit 4 (Performance of Contract): Appropriation of Payments [6 Marks]

QUESTION (AS SET ON THE PAPER):

"Where a debtor owes several distinct debts to one person (including time-barred and disputed debts) and makes a payment which is insufficient to satisfy the whole amount, the question arises as to which debt the payment should be applied". In light of this statement, explain the rules regarding appropriation of payments under the provisions of the Indian Contract Act, 1872, when: (i) The debtor expressly intimates or implies which debt should be discharged. (ii) The debtor fails to indicate any preference at the time of payment. (iii) Neither the debtor nor the creditor makes any specific appropriation.

Rules of Appropriation of Payments (Secs. 59–61) [Marks: 6]

(i) The debtor expressly intimates or impliedly indicates which debt is to be discharged [2 Marks]

Section 59 provides that where a debtor, owing several distinct debts to the same creditor, makes a payment either with express intimation, or under circumstances implying that the payment is to be applied to the discharge of a particular debt, the payment, if accepted by the creditor, must be applied accordingly — the debtor has the first right of appropriation, which the creditor cannot override once he accepts the payment.

(ii) The debtor fails to indicate any preference at the time of payment [2 Marks]

Section 60 provides that where the debtor has omitted to intimate, and there are no other circumstances indicating to which debt the payment is to be applied, the creditor may apply it at his own discretion to any lawful debt actually due from the debtor — and, notably, the creditor may apply it even to a debt which is time-barred (barred by limitation); he is not compelled to apply it proportionately or to the earliest debt.

(iii) Neither party makes any specific appropriation [2 Marks]

Section 61 provides that where neither party appropriates the payment, it shall be applied in discharge of the debts in order of time, whether or not they are barred by limitation. If the debts are of equal standing (contracted at the same time), the payment shall be applied proportionately to each.

Q4(a) — Unit 5 (Breach of Contract and its Remedies) [7 Marks]

QUESTION (AS SET ON THE PAPER):

Mr. Samrat, a garment manufacturer of Surat, entered into a contract with Vogue Fabrics Limited on 1st September 2025. The contract stated that Vogue Fabrics Limited would supply 1,000 meters of premium silk at ₹ 2,000 per meter, with the delivery scheduled for 1st December 2025. Mr.

Samrat required this silk to fulfill an export order worth ₹ 30 Lakhs, and he explicitly informed Vogue Fabrics Limited of this requirement including the export pricing details at the time of signing the contract.

On 15th October 2025, Vogue Fabrics Limited sent an email to Mr. Samrat stating, "Due to a sudden surge in global silk prices and a strike in our factory, we will be unable to supply the silk as agreed."

Mr. Samrat, fearing a loss, immediately looked for other alternative suppliers. On 20th October 2025, the market price of silk was ₹ 2,500 per meter. He chose not to wait until 1st December and sued Vogue Fabrics Limited on 25th October 2025 when the price was stable at ₹ 2,500 per meter. By 1st December 2025, the market price had risen to ₹ 3,000 per meter. Mr. Samrat could not fulfill his order, and he had to pay ₹ 30 lakhs to the foreign buyer as damages.

Answer the following, referring to the provisions of the Indian Contract Act, 1872: (i) Identify the type of breach that occurred on 15th October 2025. Does Mr. Samrat have the legal right to sue before the stipulated delivery date of 1st December 2025? (ii) Analyze the remedies available to Mr. Samrat in terms of the damages which he can recover from Vogue Fabrics Limited as per the provisions of the Indian Contract Act, 1872, considering the fact that he sued against Vogue Fabrics Limited on 25th October 2025. You are required to provide the calculation for the same.

Facts: Mr. Samrat (Surat garment manufacturer) contracted with Vogue Fabrics Ltd. on 1 Sept 2025 for 1,000 metres of premium silk @ ₹2,000/metre, delivery 1 Dec 2025 — needed for a ₹30-lakh export order, of which Vogue Fabrics was expressly informed at the time of contracting. On 15 Oct 2025, Vogue Fabrics e-mailed that it would be unable to supply the silk as agreed (price surge + factory strike). Samrat immediately looked for alternatives; on 20 Oct 2025 market price was ₹2,500/metre; he sued Vogue Fabrics on 25 Oct 2025, when price was stable at ₹2,500/metre (not waiting till 1 Dec). By 1 Dec 2025, price had risen to ₹3,000/metre; Samrat could not fulfil the export order and paid ₹30 lakh damages to the foreign buyer.

(i) Type of breach on 15 Oct 2025; does Samrat have the right to sue before 1 Dec 2025?

Identify the breach and decide whether Samrat could sue before the stipulated delivery date.

Provision:

Section 39 of the Indian Contract Act, 1872 deals with anticipatory breach: "When a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance." Where a party renounces the contract before the date fixed for performance, the promisee has the option to treat the contract as discharged immediately and sue for damages at once, without waiting for the due date to arrive.

Application:

Vogue Fabrics' e-mail of 15 Oct 2025 — well before the delivery date of 1 Dec 2025 — is an unequivocal renunciation of its obligation to supply the silk. This is a clear instance of anticipatory breach under Sec. 39.

Samrat did not, by words or conduct, signify any acquiescence to the contract's continuance — on the contrary, he immediately began looking for alternative suppliers. He was therefore entitled to treat the contract as discharged forthwith and to sue at once, rather than being compelled to wait until 1 Dec 2025.

Conclusion: The breach dated 15 October 2025 is an anticipatory breach of contract under Section 39. Yes, Mr. Samrat had the legal right to sue Vogue Fabrics Limited immediately, without waiting for the stipulated delivery date of 1 December 2025.

(ii) Damages recoverable, with calculation, given the suit was filed on 25 Oct 2025

Analyse and compute the remedies/damages available to Samrat under Sec. 73, given that he sued on 25 October 2025 rather than waiting until the delivery date.

Provision:

Section 73 entitles a party to compensation for loss or damage which naturally arose in the usual course of things from the breach, or which the parties knew, when they made the contract, to be likely to result from it. The Explanation to Sec. 73 makes clear that in estimating loss, the means available to the aggrieved party for remedying the inconvenience must be taken into account — i.e., there is a duty to mitigate loss.

Where a promisee elects to treat an anticipatory breach as an immediate discharge and sues at once, ordinary/general damages are measured by the difference between the contract price and the market price prevailing on/around the date the contract is treated as terminated (i.e., the date of election/suit), not the price prevailing on the originally fixed date of performance.

Application:

General damages: Samrat treated the contract as terminated and sued on 25 Oct 2025, when the market price of silk was stable at ₹2,500/metre (the same price that had prevailed since 20 Oct 2025). General damages = (Market price – Contract price) × Quantity = (₹2,500 – ₹2,000) × 1,000 metres = ₹5,00,000 (Rupees Five Lakh).

Special/consequential damages (₹30 lakh paid to the foreign buyer): Since Samrat had explicitly disclosed the export order and pricing to Vogue Fabrics at the time of contracting, this loss was, in principle, within the parties' contemplation under the second limb of Sec. 73 (the rule in *Hadley v. Baxendale*). However, the Explanation to Sec. 73 casts a duty on Samrat to mitigate his loss. Samrat had a clear opportunity to procure equivalent silk in the open market as early as 20–25 Oct 2025, at a stable price of ₹2,500/metre — well before the export deadline and well before the price rose further to ₹3,000/metre by 1 Dec 2025 — but chose not to. His failure to fulfil the export order, and the consequent ₹30-lakh liability, is attributable to his own inaction rather than to Vogue Fabrics' breach.

Conclusion: Mr. Samrat can recover general damages of ₹5,00,000 (difference between the market price of ₹2,500/metre on the date the contract was treated as discharged/date of suit, and the contract price of ₹2,000/metre, for 1,000 metres). He CANNOT recover the ₹30 lakh paid to the foreign buyer, since that loss resulted from his own failure to mitigate by covering his requirement in the open market when silk was available at a stable, lower price well ahead of 1 December 2025.

Q5(c) — Unit 3 (Other Essential Elements of a Contract): Wagering Agreements [6 Marks]

QUESTION (AS SET ON THE PAPER):

What is a Wagering agreement? State the transactions resembling with wagering transaction, but are not void. Your answer should be based on the applicable provisions of the Indian Contract Act, 1872.

Suggested Answer

Meaning

Section 30 of the Indian Contract Act, 1872 declares that agreements by way of wager are void, and no suit shall be brought for recovering anything won on any wager, or entrusted to a person to abide the result of any game or uncertain event. A wagering agreement is one where two parties, having no interest in the subject-matter other than the stake, agree that on the

determination of an uncertain event one shall win and the other shall lose a sum of money, with neither party having control over the event and neither having any other interest in it.

Transactions resembling a wager but held valid (not void)

1. Contracts of insurance (life, fire, marine) — the insured has a genuine insurable interest in the subject-matter, unlike a wager.
2. Genuine commercial/speculative transactions for the sale and purchase of shares, commodities or goods, where the parties genuinely intend to give and take delivery, even though the price may fluctuate.
3. Contracts of indemnity and guarantee.
4. Crossword puzzles, competitions and games that involve substantial skill, as opposed to pure chance.
5. Chit fund transactions.
6. A subscription, or contribution, towards a prize of a value above a specified minimum, awarded to the winner of a horse race — expressly exempted under the proviso to Sec. 30.
7. A collateral transaction (e.g., a loan advanced) to enable a person to pay a wagering debt is not itself void merely because the money is in fact used to pay off a wager, since Sec. 30 avoids only the wager itself and not every transaction collateral to it (unless a specific local statute provides otherwise).

Q6(b) — Unit 1 & Unit 2 — Privity of Contract / Rules of Consideration [6 Marks — Alternative Question]

QUESTION (AS SET ON THE PAPER):

As per the Indian Contract Act, 1872, a general rule is, “Stranger to a contract cannot file a suit in case of breach of contract”. Provide the exceptions to the above rule.

OR

Describe any six legal rules regarding ‘consideration’ in terms of the provisions of The Indian Contract Act, 1872.

The paper offers a choice between two questions; both are answered below for completeness.

Option (i): Exceptions to “Stranger to a contract cannot sue.” [Marks: 6]

1. Trust or charge — a beneficiary under a trust can enforce it against the trustee, though not a party to the instrument creating the trust (*Khawaja Muhammad Khan v. Husaini Begum*).
2. Family settlements/arrangements — where a provision is made for a specific member of the family (e.g., marriage expenses or maintenance) under a family arrangement, that member can enforce the provision even though not a party (*Daropti v. Jaspat Rai*).
3. Marriage settlement, partition, or other family arrangements creating a charge for the benefit of a person who is not a party.
4. Acknowledgement or estoppel — where a party to the contract, by conduct, acknowledges or admits liability to a third party (creating privity by conduct/estoppel), that third party can sue.
5. Assignment of a contract — an assignee of the benefit of a contract (e.g., through assignment or by operation of law, such as on insolvency or death) can sue on it.
6. Agency — a principal, though not named, can sue and be sued on a contract entered into by his agent within the scope of the agent's authority.

7. Covenants running with the land — a person who purchases land with notice of a restrictive covenant affecting it is bound (and, correspondingly, may enforce it), even though not a party to the original covenant.

Option (ii): Any six rules of 'Consideration' under the Indian Contract Act, 1872

[Marks: 6]

1. Consideration must move at the desire of the promisor — an act done at the instance of a third party, or voluntarily, is not good consideration (*Durga Prasad v. Baldeo*).
2. Consideration may move from the promisee or from any other (third) person — Indian law, unlike English law, does not require consideration to move from the promisee alone (*Chinnaya v. Ramayya*).
3. Consideration may be past, present, or future — Sec. 2(d) expressly recognises “has done or abstained” (past), “does or abstains” (present), and “promises to do or abstain” (future).
4. Consideration need not be adequate, but it must be real — the law does not weigh the adequacy of the bargain, but the consideration must have some value in the eyes of the law and not be illusory.
5. Consideration must be real and of some value — it must not be physically or legally impossible, uncertain, or illusory.
6. Consideration must be lawful — it must not be forbidden by law, fraudulent, injurious to a person or property, immoral, or opposed to public policy (Sec. 23); an agreement founded on unlawful consideration is void.

B. The Companies Act, 2013 (Total: 21 Marks)

Q1(b) — Doctrine of Indoor Management (Turquand's Rule) [7 Marks]

QUESTION (AS SET ON THE PAPER):

The Articles of Association (AOA) of High-Tech Innovations Limited authorized the Board of Directors to borrow money on behalf of the Company (upto a certain limit), provided that a Board Resolution was passed to approve the loan amount.

The Company's directors approached Global Bank for a loan of ₹ 50 Lakh (which was within the above limit) for business expansion. The Bank's Manager requested for a copy of the AOA and the MOA. Upon review, the Bank confirmed the directors had the power to borrow since it was within the limit specified in the Articles of the Company. The directors then submitted a formal confirmation letter stating that the required board resolution had been passed, though in reality, no such board meeting was ever held for this purpose.

Global Bank, relying on this representation, disbursed the loan. When the Company later defaulted, the directors contended that the loan transaction was unauthorised and void because the internal requirement of a board resolution was never passed for the purpose.

Answer the following, referring to the legal doctrine behind the relevant provisions of the Companies Act, 2013: (i) Does Global Bank have a legal right to recover the loan amount from the Company despite the absence of a board resolution? (ii) If the Company proves that the Bank Manager had attended a private lunch (before the loan was sanctioned) where the Directors admitted that they skipped the board meeting due to lack of the required number of directors to pass the resolution on the day when it was required, would the Bank be protected? (iii) If the formal letter confirming that the required board resolution was passed (which was submitted to the bank) was found to have been forged with the wrong signature of the Company Secretary, can the Bank recover the loan from the Company by suing against it?

Facts: *The AOA of High-Tech Innovations Ltd. authorised the Board to borrow up to a limit, subject to a Board Resolution approving the amount. The directors approached Global Bank for a ₹50-lakh loan (within the limit); the Bank verified the AOA/MOA and confirmed the power existed. The directors gave a formal confirmation letter stating the resolution had been passed — though, in fact, no such Board meeting was ever held. The Bank disbursed the loan; on default, the directors contended the loan was unauthorised and void for want of the internal resolution.*

(i) Can Global Bank recover the loan despite the absence of a Board Resolution?

Decide, referring to the doctrine behind the relevant provisions of the Companies Act, 2013, whether the Bank can recover the loan.

Provision:

The Doctrine of Indoor Management (Royal British Bank v. Turquand) provides that a person dealing with a company in good faith is entitled to assume that the internal rules and procedures prescribed by its Articles (such as the passing of a Board Resolution) have been duly observed, and is not bound to enquire into the regularity of the company's internal proceedings. This doctrine — the counterpart to the doctrine of constructive notice of a company's public documents — protects bona fide outsiders from the consequences of a company's own internal lapses.

Application:

Global Bank inspected the AOA/MOA (the public/external documents) and correctly ascertained that the proposed borrowing was within the directors' authorised limit — an act within the directors' apparent/ostensible authority under the Articles. Having done so, and having received a formal confirmation that the internal formality (Board Resolution) stood

complied with, the Bank was entitled, under the Doctrine of Indoor Management, to assume that this internal requirement had in fact been satisfied.

Conclusion: Yes, Global Bank has a legal right to recover the loan from the Company. Acting bona fide and having verified the external position, the Bank is protected by the Doctrine of Indoor Management, and the Company cannot avoid liability by relying on its own internal irregularity.

(ii) Would the Bank be protected if its Manager had prior knowledge (via a private lunch) that the resolution had never been passed?

Decide whether the Doctrine of Indoor Management still protects the Bank if it had actual knowledge of the irregularity before disbursing the loan.

Provision:

The Doctrine of Indoor Management is subject to well-recognised exceptions, one of which is “knowledge of irregularity”: where the outsider dealing with the company had actual (or constructive) knowledge that the internal procedure had not, in fact, been followed, he cannot claim the protection of the doctrine, since it exists only to protect persons acting in good faith and without notice of the defect.

Application:

If the Bank Manager attended a lunch, before the loan was sanctioned, at which the Directors admitted that no Board meeting had been held (for want of quorum), the Bank — through its Manager — had actual knowledge of the very irregularity it now seeks to overlook. Disbursing the loan thereafter cannot be said to be in good faith and without notice.

Conclusion: No, the Bank would NOT be protected in that situation. Having actual knowledge of the irregularity before disbursement, Global Bank falls within the “knowledge of irregularity” exception and cannot invoke the Doctrine of Indoor Management.

(iii) Can the Bank recover the loan if the confirmation letter was forged?

Decide whether forgery of the confirmation letter (with the wrong signature of the Company Secretary) defeats the Bank's claim.

Provision:

Forgery is not a mere internal “irregularity” capable of being cured by the Doctrine of Indoor Management; a forged document is void ab initio — a nullity from its inception. The doctrine protects outsiders only against defects in an otherwise genuine internal process; it affords no protection where the very document relied upon is fabricated (*Ruben v. Great Fingall Consolidated*).

Application:

The confirmation letter here was forged, bearing the wrong signature of the Company Secretary. Since the document itself is a nullity, the Bank cannot be said to have validly relied on a genuine internal authorisation — the Doctrine of Indoor Management does not extend this far.

Conclusion: No, the Bank cannot recover the loan from the Company by suing on the strength of the forged letter, since forgery falls outside the protection afforded by the Doctrine of Indoor Management. (The Bank's remedy, if any, would lie personally against those responsible for the forgery/fraud, not against the Company.)

Q2(b) — Lifting of Corporate Veil [7 Marks]

QUESTION (AS SET ON THE PAPER):

"The company is treated as a legal entity distinct and separate from its shareholders or members". Discuss the situations where the above principle of the corporate personality is disregarded by law. Your answer should be based on the Companies Act, 2013.

Suggested Answer

The principle of separate legal personality, established in *Salomon v. Salomon & Co. Ltd.*, is fundamental to company law; however, both statute and the courts recognise circumstances in which this corporate veil is lifted (disregarded) to look at the persons behind the company.

(A) Statutory instances under the Companies Act, 2013

1. Reduction of membership below the statutory minimum (Sec. 3A) — every member who knowingly continues business with the company reduced below the minimum for more than six months becomes personally liable for debts contracted thereafter.
2. Mis-description of the company's name (Sec. 12) — an officer who signs a document/negotiable instrument on the company's behalf without properly mentioning its name is personally liable to the holder unless the company itself pays.
3. Fraudulent conduct of business (Sec. 339, during winding up) — persons knowingly party to carrying on business with intent to defraud creditors become personally liable without limitation.
4. Failure to apply/refund application money (Secs. 39–40) — officers in default may be held personally liable.
5. Investigation of ownership of a company (Sec. 216) — Central Government may investigate to determine the true persons controlling the company.
6. Fraudulently inducing persons to invest money (Sec. 36) — persons responsible for a fraudulent statement/inducement are personally liable, civilly and criminally.
7. Liability for ultra vires acts — directors/officers acting beyond the objects of the company are personally liable to third parties for such acts.

(B) Judicial instances (veil lifted by courts)

1. To determine the real character/nationality of a company, e.g., to detect an "enemy company" in wartime (*Daimler Co. Ltd. v. Continental Tyre & Rubber Co.*).
2. Where the corporate form is used as a mere sham, cloak, or alter ego to perpetrate fraud or evade legal/contractual obligations.
3. Where the company is used to avoid a welfare statute or existing legal obligation.
4. Where necessary to protect public policy or prevent an abuse of the corporate form.

Q3(b) — Entrenchment Provisions in the Articles of Association [Sec. 5]

QUESTION (AS SET ON THE PAPER):

Smooth Panels Private Limited is a private limited company engaged in the business of manufacturing of plastic panels used to cover walls against seepage and moisture. The Company was incorporated in 2023 in Bhubaneswar, Odisha (not a SEZ zone) with share capital of ₹ 50 Crores comprising of equity shares of ₹ 100 each.

The Company is planning to alter its Articles of Association by passing a special resolution so as to include an entrenchment clause with regard to power of directors to invest the funds of the Company in the securities of other bodies corporate in excess of sixty per cent of its paid-up capital, free reserves and security premium account or one hundred per cent of its free reserves and

securities premium account whichever is more only after passing a prior unanimous resolution of all the members of the Company in this regard.

[Note: This entrenchment clause was provided to curb the power of the Board of Directors to invest money of the Company only with the approval of all the members, since restriction has been provided under Section 186 of the Companies Act 2013 that when the investment exceeds sixty per cent of its paid-up capital, free reserves and security premium account or one hundred per cent of its free reserves and securities premium account whichever is more, a prior special resolution is required to be passed.]

One Director of the Company Mr. Yogesh objected to the proposed move of the Company contending that only an ordinary resolution will be enough to include the above entrenchment clause; whereas another director Mr. Zitesh in contrast contended that only if it is agreed to by all the members of the Company, then only the Company can include the above entrenchment clause in the Articles of Association of the Company.

Decide the following with reference to the applicable provisions of the Companies Act, 2013: (i) Whether the Company can include the above entrenchment clause in the Articles of Association of the Company at all. (ii) Whether the above entrenchment clause can be included in the Articles by passing a special resolution as planned by the Company and whether the contention of Mr. Yogesh or Mr. Zitesh is tenable in this regard.

Facts: Smooth Panels Pvt. Ltd. (incorporated 2023, share capital ₹50 crore) plans to alter its AOA by a SPECIAL RESOLUTION to insert an entrenchment clause requiring a PRIOR UNANIMOUS resolution of all members before the directors may invest beyond the Sec. 186 threshold. Director Yogesh contends an ordinary resolution suffices; Director Zitesh contends it needs the agreement of all members.

(i) Can the Company include such an entrenchment clause in its Articles at all?

Decide whether entrenchment provisions of this nature are permissible under the Companies Act, 2013.

Provision:

Section 5(3) of the Companies Act, 2013 permits the Articles of a company to contain provisions for entrenchment — i.e., that specified provisions of the Articles may be altered only if conditions or procedures more restrictive than those applicable to a special resolution are met.

Application:

There is no bar under the Act on entrenching a provision that regulates the directors' investment powers; entrenchment can attach to any specified Article. Smooth Panels' proposed clause — requiring a stricter internal safeguard (unanimous member approval) before directors exercise a power that the Act itself already conditions on a special resolution (Sec. 186) — is a permissible use of Sec. 5(3).

Conclusion: Yes, the Company can include such an entrenchment clause in its Articles of Association; Sec. 5(3) permits entrenchment of any specified provision, and there is no restriction against entrenching the directors' investment powers.

(ii) Is a special resolution enough to insert this clause, and whose contention — Mr. Yogesh's or Mr. Zitesh's — is correct?

Decide the correct procedure for a PRIVATE company to insert an entrenchment provision by amendment, and whose view is legally correct.

Provision:

Section 5(4) provides that entrenchment provisions may be made either (a) on the formation of the company, through its Articles, or (b) by way of amendment — and where the amendment is

made by a PRIVATE company, it must be “agreed to by all the members of the company”; only where the amendment is made by a PUBLIC company does a special resolution suffice.

Application:

Smooth Panels Pvt. Ltd. is a private company, and the entrenchment clause is being introduced by way of amendment (post-incorporation), not at formation. Sec. 5(4) therefore requires the agreement of ALL the members of the company — a special resolution (which requires only a 75% majority, not unanimity) does not meet this requirement for a private company.

Mr. Yogesh's contention (that an ordinary resolution suffices) is incorrect, and the Company's own proposed route (a special resolution) is also legally insufficient. Mr. Zitesh's contention — that agreement of all members is required — correctly reflects Sec. 5(4) for a private company.

Conclusion: A special resolution alone is NOT sufficient; Sec. 5(4) requires the agreement of all members of Smooth Panels Pvt. Ltd. (being a private company) for insertion of the entrenchment clause by amendment. Mr. Zitesh's contention is tenable; Mr. Yogesh's is not.

C. The Indian Partnership Act, 1932 (Total: 20 Marks)

Q1(c) — Property of the Firm [Sec. 14] and Sharing of Profits [Sec. 6] [6 Marks]

QUESTION (AS SET ON THE PAPER):

Referring to the applicable provisions of The Indian Partnership Act, 1932 answer the following: (i) "The sharing of profits or gross returns arising from property by persons holding a joint or common interest in that property does not of itself make such persons partners." Discuss the correctness of the statement and state any [portion of the printed question obscured in the scanned original — answered below for the standard four] types of sharing of receipts which would not make a partner? (ii) "Joint stock", 'common stock' or 'joint estate', denotes all property, rights and interests to which the firm, that is, all partners collectively, may be entitled." Discuss the validity of the statement emphasizing on items which can be termed as partnership property and discuss how to determine whether a particular property is or is not 'property' of the firm.

(i) Suggested Answer [3 Marks] [Marks: 3]

The statement is correct and reflects Explanation 1 to Sec. 6 of the Indian Partnership Act, 1932. Mere co-ownership of property, coupled with sharing of the profits or rents/returns it generates (e.g., two joint owners of a building letting it out and sharing the rent), does not by itself amount to partnership — because partnership requires an agreement to carry on a business with the element of mutual agency, which is absent in simple co-ownership.

Explanation 2 to Sec. 6 further lists specific types of receipt of a share of profits (or a payment contingent on/varying with profits) which do NOT, of themselves, make the recipient a partner:

1. A lender of money to a person engaged, or about to engage, in a business, who receives a share of the profits, or interest varying with the profits, in lieu of/in addition to interest.
2. A servant or agent of the business, receiving a share of profits as remuneration.
3. The widow or child of a deceased partner, receiving a portion of profits as an annuity.
4. A previous owner or part-owner of the business, who receives a share of the profits as consideration for the sale of the goodwill or a share of it.

(ii) Suggested Answer [4 Marks] [Marks: 3]

The statement is a correct paraphrase of Sec. 14, which defines the property of the firm to include: property, rights and interest in property originally brought into the common stock by the partners; property acquired (by purchase or otherwise) by or for the firm, or for the purposes/in the course of the firm's business; and the goodwill of the business — subject always to any contrary agreement between the partners.

Items constituting partnership property

- Property/capital brought in by the partners at the formation of the firm.
- Property purchased with the firm's money — presumed, under Sec. 14, to have been bought on account of the firm, unless a contrary intention appears.
- Property acquired for the purposes and in the course of the firm's business.
- Goodwill of the business.

Test to determine whether a property is (or is not) firm property

1. The agreement between the partners (express or implied), typically found in the partnership deed.
2. The source of funds used to acquire the property — firm funds versus a partner's personal/separate funds.

3. The purpose for which the property was acquired — for the firm's business, or for a partner's personal use.
4. The manner in which the property has been treated and entered in the books of account of the firm.
5. The conduct of the partners in relation to the property (usage, dealing, disclosure).

Q3(a) — Retiring Partner's Rights [Sec. 37] and Revocation of Continuing Guarantee [Sec. 38] [7 Marks]

QUESTION (AS SET ON THE PAPER):

Neel, Dhruv and Alex were partners in M/s Fabrics Textile Agency, sharing profits and losses in the ratio of 4:3:3. They had contributed to the capital of the firm also in the same ratio. M/s Fabrics Textile Agency acted as agents between the manufacturers and buyers of some industrial machines, by providing guarantee to the manufacturers on behalf of the buyers for which they were earning commission. They had provided continuing guarantee to a manufacturer on behalf of Asif since 1st April 2022 for a period of 5 years.

On 31st October 2024 Alex sought retirement from the partnership due to his weakening health and the other partners agreed with him in terms of the partnership agreement and thereby the Firm was reconstituted and the existing partners Neel and Dhruv continued with profit sharing ratio of 4:3. The value of total partnership property including the profits earned by the Firm till Alex's retirement stood at ₹ 30 crores as on the date of retirement of Alex. No final settlement was made with Alex on the date of his retirement and the partnership deed was also silent with regard to distribution and payment of the dues of a retiring partner.

Neel and Dhruv continued the business after Alex's retirement. In the meantime, Alex passed away due to ill health on 30th November 2024. The next day, his son, Tom who was the only legal heir of Alex, asked for settlement of Alex's account in M/s Fabric Textile Agency. After Alex's retirement the firm made a profit of ₹ 2 crores until Alex passed away, i.e. 30th November 2024.

Referring to and explaining the applicable provisions of the Indian Partnership Act, 1932: Calculate the maximum amount of share that Tom is entitled to as the only legal heir of Alex. What will be your answer (maximum amount of claim by Tom) in case Tom approached for settlement of the dues of his father on 31st December, 2024, i.e. after one month his father passed away, if the Firm had earned an additional profit of ₹ 50 Lakh from 1st December 2024 to 31st December 2024 (i.e. after retirement of Alex till his death ₹ 2 crore and from his death till the date of claim ₹ 50 lakh) and he had not made any claim earlier?

In order to avoid future complications, Neel and Dhruv decided to revoke the continuing guarantee provided by the Firm on behalf of Asif with effect from 1st November 2024. However, Asif contended that since the firm was not dissolved, the continuing guarantee will continue and it can be revoked only upon mutual understanding between the Firm and Asif — neither the guarantee agreement did cover such a situation, nor the partnership deed. In terms of the provisions of the applicable provisions of the Indian Partnership Act, 1932, decide whether contention of Asif is tenable.

Facts: *Neel, Dhruv and Alex shared profits/losses (and capital) 4:3:3 in M/s Fabrics Textile Agency, which had given a continuing guarantee to a manufacturer on behalf of Asif from 1 April 2022 for 5 years. Alex retired on 31 Oct 2024; Neel and Dhruv continued at 4:3. Total partnership property (incl. profits till then) stood at ₹30 crore on Alex's retirement date. No final settlement was made with Alex, and the deed was silent on a retiring partner's dues. Neel and Dhruv continued the business; Alex died on 30 Nov 2024, and his son Tom (sole legal heir) sought settlement the next day. The firm earned ₹2 crore profit between Alex's retirement and his death.*

Maximum amount Tom is entitled to, claiming settlement on 1 Dec 2024 (immediately)

Calculate the maximum amount to which Tom, as Alex's legal representative, is entitled.

Provision:

Section 37 provides that where a partner has died or otherwise ceased to be a partner, and the surviving/continuing partners carry on the business with the property of the firm without a final settlement of accounts with the outgoing partner (or his estate), then, in the absence of a contract to the contrary, the outgoing partner (or his representative) is entitled, AT HIS OPTION, either to (a) such share of the subsequent profits as is attributable to the use of his share of the property of the firm, OR (b) interest @ 6% p.a. on the amount of his share in the property of the firm.

Application:

Alex's profit-sharing ratio before retirement was 3/10th (ratio 4:3:3). His share in the firm's property as on the date of retirement (31 Oct 2024) = $3/10 \times ₹30 \text{ crore} = ₹9 \text{ crore}$.

Since no final settlement was made and Neel & Dhruv continued the business using the firm's property (including Alex's undrawn share), Tom, as Alex's representative, may elect under Sec. 37 between: Option A — proportionate share of subsequent profits = 30% (Alex's property-share) $\times ₹2 \text{ crore}$ (profit earned from retirement to death) = ₹60,00,000; or Option B — interest @ 6% p.a. on ₹9 crore for 1 month (31 Oct to 30 Nov 2024) = $₹9,00,00,000 \times 6\% \times 1/12 = ₹4,50,000$.

Being entitled to elect the more beneficial option, Tom would choose Option A (₹60,00,000) over Option B (₹4,50,000).

Conclusion: Maximum amount Tom is entitled to = Alex's share in property (₹9 crore) + share of subsequent profits (₹60,00,000) = ₹9,60,00,000 (Rupees Nine Crore Sixty Lakh).

Revised claim if Tom approaches only on 31 Dec 2024, with a further ₹50 lakh profit earned from 1 to 31 Dec 2024, and no earlier claim made

Recompute the maximum amount, given the delay in Tom's claim and the additional profit period.

Provision:

Section 37 continues to operate for the entire period during which no final settlement has been made and no claim has been settled — the outgoing partner's estate does not lose its right merely because the representative has not yet approached the firm, so long as no claim has been made and satisfied earlier.

Application:

For the further period 1–31 Dec 2024, the firm earned an additional ₹50 lakh. Applying the same proportion (Alex's property-share of 30%): profit attributable = $30\% \times ₹50,00,000 = ₹15,00,000$. Added to the earlier ₹60,00,000 (for Nov), the total profit-share option now = ₹75,00,000.

The interest option, extended to 2 months (31 Oct to 31 Dec 2024) = $₹9,00,00,000 \times 6\% \times 2/12 = ₹9,00,000$ — still far lower than the profit-share option.

Tom, entitled to elect the more favourable option, would again choose the share-of-profits route.

Conclusion: Maximum amount Tom is entitled to (claiming on 31 Dec 2024) = ₹9 crore (property share) + ₹75,00,000 (profit share for Nov + Dec) = ₹9,75,00,000 (Rupees Nine Crore Seventy-Five Lakh).

Is Asif's contention tenable — that the continuing guarantee survives reconstitution and can be revoked only by mutual understanding?

Decide, referring to the Indian Partnership Act, 1932, whether the continuing guarantee automatically stood revoked on Alex's retirement.

Provision:

Section 38 provides that a continuing guarantee given to a firm, or to a third party in respect of the transactions of a firm, is, in the absence of an agreement to the contrary, revoked as to future transactions from the date of any change in the constitution of the firm.

Application:

Alex's retirement on 31 Oct 2024 is a "change in the constitution of the firm". Neither the guarantee agreement nor the partnership deed contains any agreement to the contrary covering this situation. Under Sec. 38, therefore, the continuing guarantee stood automatically revoked, as to future transactions, from 31 Oct 2024 itself — by operation of law, without the need for any fresh act of revocation or Asif's consent.

Conclusion: Asif's contention is NOT tenable. The continuing guarantee stood revoked as to future transactions from the date the firm was reconstituted (31 Oct 2024), by operation of Sec. 38, and does not require mutual understanding between the firm and Asif to be revoked.

Q5(b) — Implied Authority and Emergency Authority of a Partner [Secs. 19 & 21] [7 Marks]**QUESTION (AS SET ON THE PAPER):**

P and Q are running a partnership firm of manufacturing and trading of industrial chemicals. They invited R to join the firm as a partner. R has sought your opinion as to what would be the limits of his implied authority as a partner and since the business is prone to hazards, he wants to know his authority in the case of an emergency. Explain R, in this regard by referring to the applicable provisions of the Indian Partnership Act, 1932.

Suggested Answer***Implied authority in the ordinary course of business [Sec. 19]***

Section 19(1) provides that the act of a partner, done to carry on, in the usual way, business of the kind carried on by the firm, binds the firm — this is his "implied authority". As a partner in a chemical manufacturing/trading firm, R would have implied authority to do all acts usual to that trade (e.g., buying and selling goods, receiving payments on the firm's behalf, engaging normal business dealings).

However, Sec. 19(2) provides that, in the absence of usage or custom of trade to the contrary, this implied authority does NOT extend to: submitting a dispute relating to the firm's business to arbitration; opening a bank account in his own name on the firm's behalf; compromising or relinquishing any claim of the firm; withdrawing a suit filed on the firm's behalf; admitting any liability in a suit against the firm; acquiring or transferring immovable property of the firm; or entering into partnership on the firm's behalf.

Authority in an emergency [Sec. 21]

Section 21 provides that a partner has authority, in an emergency, to do all such acts for the purpose of protecting the firm from loss as would be done by a person of ordinary prudence, in his own case, acting under similar circumstances — and such acts bind the firm.

Since the business (industrial chemicals) is prone to hazards, R's emergency authority would extend to any reasonable, prudent step taken to avert or minimise loss to the firm in a sudden crisis (e.g., emergency safety measures, urgent disposal of hazardous/deteriorating stock, or emergency repairs) — and such action would bind the firm even though it may exceed his ordinary implied authority.

D. The Sale of Goods Act, 1930 (Total: 21 Marks)

Q2(a) — Goods Delivered 'On Sale or Return' [Sec. 24] [7 Marks]

QUESTION (AS SET ON THE PAPER):

Mohan and Bibhuti are friends. Mohan owns an electronic consumer durable products showroom selling all kinds of electronic consumer durable goods. Bibhuti's daughter was getting married in July and since the weather was still hot and humid, Bibhuti was planning to have a portable air conditioner; but since his finance condition were very tight because of the wedding expenses, he was hesitating to spend on the portable air conditioner. Mohan told him that there was an option available with Bibhuti to avail the air conditioner on sale or return basis by which he can avail the portable air conditioner now, use it for the occasion and in case he does not like it he can return it within 10 days of receiving the same. Bibhuti also liked the idea and brought the portable AC on sale or return basis from Mohan.

Bibhuti used the portable air conditioner during the wedding occasion, but since the stipulated period of 10 days had not elapsed, he did not confirm whether to purchase the same or return it. In the meanwhile, before elapse of the stipulated 10 days, Bibhuti's daughter took the portable air conditioner with her to her in-law's house without intending to return the same, of which Bibhuti was aware, but remained silent.

Referring to and explaining the applicable provisions of the Sale of Goods Act, 1930 regarding the circumstances under which goods are delivered to the buyer "on approval" or "on sale or return" or other similar terms, the property therein passes to the buyer, decide whether Mohan can treat the transaction as approved by Bibhuti in this situation, when the stipulated period of 10 days has not elapsed, since Bibhuti's daughter has taken it away with her. Also decide whether Mohan can recover the price of the portable air conditioner from Bibhuti's daughter under the circumstances since she has taken away the portable air conditioner.

Facts: Mohan (electronics showroom) let Bibhuti take a portable AC 'on sale or return' basis, returnable within 10 days. Bibhuti used it at his daughter's wedding; before the 10 days elapsed, his daughter took the AC away to her in-laws' house with no intention of returning it — with Bibhuti's knowledge, though he remained silent.

Can Mohan treat the transaction as approved by Bibhuti, though the 10-day period had not elapsed?

Decide whether property in the AC passed to Bibhuti before expiry of the stipulated 10 days.

Provision:

Section 24 of the Sale of Goods Act, 1930 provides that when goods are delivered to the buyer on approval, or 'on sale or return', or similar terms, the property therein passes to the buyer: (a) when he signifies his approval/acceptance to the seller; or (b) when he does any other act adopting the transaction; or (c), if he neither signifies approval nor rejects the goods, on the expiry of the time fixed for their return (or, if no time is fixed, a reasonable time).

Application:

Bibhuti did not expressly signify approval. However, he knowingly allowed his daughter to take the AC away permanently to her in-laws' house, without any intention of returning it, and remained silent about it — this conduct is inconsistent with the goods remaining returnable/at the seller's risk, and amounts to "doing an act adopting the transaction" within Sec. 24(b).

Since Sec. 24(b) applies wherever the buyer does a positive act adopting the transaction, property passes at that point regardless of whether the 10-day period has expired — the "expiry of time" limb (Sec. 24(c)) applies only where the buyer has done nothing at all, which is not the case here.

Conclusion: Yes, Mohan can treat the transaction as approved by Bibhuti — property in the portable AC passed to Bibhuti under Sec. 24(b) the moment he permitted (by conduct/silence) the AC to be taken away with no intention of return, even though the 10-day period had not yet elapsed.

Can Mohan recover the price of the AC from Bibhuti's daughter?

Decide against whom Mohan's remedy for the price lies.

Provision:

Only a party to the contract of sale can be sued for the price under the Sale of Goods Act; a third person who is a stranger to that contract incurs no liability for the price merely by taking possession of the goods.

Application:

The contract of sale ('on sale or return') was between Mohan and Bibhuti; Bibhuti's daughter is not a party to it. Since property passed to Bibhuti (as established above), it is Bibhuti — the buyer under the contract — who is liable to Mohan for the price, not his daughter.

Conclusion: No, Mohan cannot recover the price of the portable AC from Bibhuti's daughter, as she is a stranger to the contract of sale. Mohan's remedy for the unpaid price lies against Bibhuti, the buyer.

Q5(a) — Unpaid Seller's Right of Lien and Resale [Secs. 47 & 54] [7 Marks]

QUESTION (AS SET ON THE PAPER):

M/S Kashmir Apples and Juice Limited are engaged in the sale of raw apple as well as processed apple juice in and around India. The Raw apples and the juice are safely packed and transported to cold storages situated in almost every state in India. The Company has a storage facility at Faridabad from where it supplies items to North Indian states. Fresh Tropical Limited is a retail unit situated in Faridabad near Delhi dealing in products of M/S Kashmir Apples and Juice Limited.

On 1.4.2025 the retailer ordered 1400 Kg of garden-fresh apples at ₹ 200 per Kg and 10,000 cans of apple juice at ₹ 100 per can on credit. A contract was executed between the above parties with specific clause regarding right of lien in goods as well as possession which would remain with the seller until full payment is made. Payment condition is fixed that it can be made till 31.07.2025. The contract did not contain any clause with regard to notice to buyer in the event of exercise of the above right of lien and possession by the seller.

Till 01.06.2025 no payment for the order was made by the buyer. On 05.06.2025 Mr. Gulfam, a representative from M/S Kashmir Apples and Juice Limited visited and inspected the cold storage in Faridabad and assessed that the stored apples (already sold to Fresh Tropical Limited through the above contract) will soon start to rot and hence decided to sell the same in the local market with immediate effect without notice to Fresh Tropical Limited.

On 21.07.2025 Fresh Tropical Limited paid for only 7000 cans of juice and took them to their own possession. On 28.07.2025 the seller gave a notice to the buyer stating that the remaining 3000 cans in their (seller's) possession will be sold by M/S Kashmir Apples and Juice Limited to other parties if payment is not made by 31.07.2025. The buyer failed to pay for the rest of cans till 31.07.2025.

M/S Kashmir Apples and Juice Limited sold 1200 of the remaining cans at a discounted price of ₹ 75 per can to another party M/S New Fruit Private Limited and the rest of 1800 cans at ₹ 105 per can in the open market.

M/S Kashmir Apples and Juice Limited urged Fresh Tropical Limited to compensate them for loss on the sale at discounted price (₹ 75 per can) which the latter refused to pay. M/S Kashmir Apples and Juice Limited filed a suit against Fresh Tropical Limited to recover the above loss.

Referring to and explaining the relevant provisions of the Sales of Goods Act, 1930, answer the following: (i) Whether the act of selling raw apples by M/S Kashmir Apples and Juice Limited without any notice to the buyer was valid. (ii) Also decide whether M/S Kashmir Apples and Juice Limited can recover the sustained loss of ₹ 25 per can from Fresh Tropical Limited and how would the profit of ₹ 5 per can earned from sale of the rest of 1800 cans be treated in this case. (iii) In case no notice of resale was given by the seller, what would be the outcome of the suit filed for recovery of loss on sale of 1200 cans and the profit earned on sale of 1800 cans?

Facts: Fresh Tropical Ltd. ordered 1,400 kg apples @ ₹200/kg and 10,000 cans of juice @ ₹100/can, on credit, from Kashmir Apples and Juice Ltd. (contract dated 1.4.2025), with a lien/possession clause in the seller's favour until full payment, payable by 31.7.2025; no notice clause. No payment was made till 1.6.2025. On 5.6.2025, the seller (finding the stored apples about to rot) sold them in the local market immediately, without notice. On 21.7.2025 the buyer paid for and took 7,000 cans of juice; on 28.7.2025 the seller gave notice that the remaining 3,000 cans would be sold if unpaid by 31.7.2025 — the buyer defaulted. The seller then sold 1,200 cans at a discounted ₹75/can, and the remaining 1,800 cans at ₹105/can.

(i) Was the sale of the raw apples, without notice, valid?

Decide whether the unpaid seller could validly resell the perishable apples without giving notice to the buyer.

Provision:

Section 47 gives an unpaid seller in possession a right of lien on goods sold on credit once the credit period has expired (or where sold without a credit stipulation). Section 54(1) permits an unpaid seller who has exercised the right of lien to resell the goods — and expressly dispenses with the requirement of notice to the buyer where the goods are of a PERISHABLE nature.

Application:

The apples had already been sold to Fresh Tropical under the 1.4.2025 contract, but remained unpaid for and in the seller's possession under the lien/possession clause; being raw apples about to rot, they were perishable goods. Sec. 54(1) expressly permits resale of perishable goods without notice.

Conclusion: Yes, the act of selling the raw apples without notice was valid, since apples are perishable goods, and Sec. 54(1) dispenses with the notice requirement for such goods.

(ii) Can Kashmir Apples recover the ₹25/can loss on 1,200 cans, and how is the ₹5/can profit on 1,800 cans to be treated?

Decide the seller's right to recover the resale loss, and the ownership of the resale profit, on the juice cans (non-perishable, notice duly given).

Provision:

Section 54(1)/(2) provides that where the unpaid seller (for non-perishable goods) gives the buyer notice of his intention to resell and the buyer fails to pay/tender the price within a reasonable time, the seller may resell and recover from the original buyer damages for any loss occasioned by the breach — but the buyer is NOT entitled to any profit on the resale (it belongs to the seller).

Application:

The juice cans are not shown to be perishable in the urgent sense; the seller gave notice on 28.7.2025 of its intention to sell the remaining 3,000 cans if unpaid by 31.7.2025, and the buyer duly defaulted. This satisfies the notice requirement of Sec. 54(1), so the seller's resale is valid and the consequences of a notified resale follow.

On the 1,200 cans resold at a discounted ₹75/can (against the contract price of ₹100/can), the loss of ₹25/can × 1,200 = ₹30,000 is recoverable from Fresh Tropical, as notice was duly given.

On the 1,800 cans resold at ₹105/can (a ₹5/can gain over the ₹100 contract price), the resulting profit of $₹5 \times 1,800 = ₹9,000$ belongs entirely to Kashmir Apples (the seller); the buyer has no claim to it, since notice of resale was given.

Conclusion: Kashmir Apples can recover ₹30,000 (the loss on the 1,200 discounted cans) from Fresh Tropical Ltd. The ₹9,000 profit earned on the 1,800 cans belongs to Kashmir Apples alone; Fresh Tropical cannot claim any part of it.

(iii) What if no notice of resale had been given at all?

Decide the outcome for both the loss on 1,200 cans and the profit on 1,800 cans, had no notice been given.

Provision:

Where notice of intended resale is required (non-perishable goods) but is NOT given, Sec. 54(1)/(2) reverses the position: the unpaid seller is NOT entitled to recover from the buyer any loss occasioned on resale, and the buyer becomes entitled to any profit made on the resale.

Application:

Absent notice, Kashmir Apples' claim to recover the ₹30,000 loss on the 1,200 discounted cans would fail. Conversely, Fresh Tropical would become entitled to claim the ₹9,000 profit earned on the sale of the 1,800 cans.

Conclusion: If no notice of resale had been given, Kashmir Apples' suit for recovery of the ₹30,000 loss would fail; instead, Fresh Tropical Ltd. would be entitled to claim the ₹9,000 profit made on the sale of the 1,800 cans.

Q6(c) — Unpaid Seller: Meaning and Remedies [7 Marks]

QUESTION (AS SET ON THE PAPER):

Answer the following in terms of the provisions of the Sale of Goods Act, 1930. Who is an unpaid seller? State the remedies available to an unpaid seller against the buyer.

Suggested Answer

Section 45 defines an unpaid seller as a seller: (a) to whom the whole of the price has not been paid or tendered; or (b) who has received a bill of exchange or other negotiable instrument as conditional payment, and the instrument has been dishonoured.

Remedies of an unpaid seller

A. Against the goods (real remedies)

1. Right of lien (Secs. 47–49) — right to retain possession of the goods until payment, available where goods are sold without a credit stipulation, or the credit period has expired, or the buyer becomes insolvent.
2. Right of stoppage in transit (Secs. 50–52) — right to resume possession of goods while they are in transit to the buyer, where the buyer has become insolvent.
3. Right of resale (Sec. 54) — right to resell the goods after exercising lien or stoppage in transit, subject to the notice requirement discussed above (dispensed with for perishables).

B. Against the buyer personally (in personam)

1. Suit for price (Sec. 55) — where property in the goods has passed to the buyer, or where the price is payable on a specific day, and the buyer wrongfully neglects/refuses to pay.
2. Suit for damages for non-acceptance (Sec. 56) — where the buyer wrongfully neglects or refuses to accept and pay for the goods.

3. Suit for interest (Sec. 61) — interest on the price from the date it fell due, where there is a specific agreement, or as the court may otherwise deem fit.

E. The Negotiable Instruments Act, 1881 (Total: 14 Marks)

Q4(b) — Inchoate Instruments and 'All Cheques are Bills, Not All Bills are Cheques' [7 Marks]

QUESTION (AS SET ON THE PAPER):

Referring to the provisions of the Negotiable Instruments Act, 1881, answer the following: (i) State the meaning of an 'inchoate instrument'. Also elaborate the provisions regarding liability of drawing such an instrument on the holder as well as the holder in due course. (ii) "All cheques are bills, while not all bills are cheques." Discuss under the Negotiable Instruments Act, 1881.

(i) Meaning of an 'inchoate instrument'; liability on drawing such an instrument, on the holder and the holder in due course. [4 Marks] [Marks: 4]

Section 20 provides that where a person signs and delivers to another a paper, stamped in accordance with the law relating to negotiable instruments, either wholly blank or having an incomplete negotiable instrument written on it, he thereby gives prima facie authority to the holder to make or complete it as a negotiable instrument for any amount specified therein, not exceeding the amount covered by the stamp. Such a paper, until completed, is called an 'inchoate instrument'.

Liability to a holder in due course: The person who signed and delivered the inchoate instrument is liable, in the capacity in which he signed (maker, drawer, acceptor or indorser), for the amount ultimately filled in — up to the amount covered by the stamp — to any holder IN DUE COURSE, even if the amount filled in exceeds what was privately agreed/authorised between the original parties.

Liability to a holder who is NOT a holder in due course: Where the holder is not a holder in due course (e.g., he has notice of the actual private agreement, or does not hold for value/in good faith), the signer is liable only to the extent of the amount he actually authorised to be filled in — not the higher amount that may have been improperly inserted.

(ii) "All cheques are bills, while not all bills are cheques." Discuss. [3 Marks] [Marks: 3]

Section 6 defines a cheque as "a bill of exchange drawn on a specified banker and not expressed to be payable otherwise than on demand" (and includes an electronic image of a truncated cheque and a cheque in electronic form). Since a cheque is, by definition, a species of bill of exchange (as defined in Sec. 5), every cheque necessarily satisfies the definition of a bill of exchange — hence "all cheques are bills".

However, a bill of exchange, generally, may be drawn on ANY person (not necessarily a banker) and may be made payable on demand OR after a specified time/event; a cheque, by contrast, must be drawn ONLY on a banker and must be payable ONLY on demand. A bill drawn on a non-banker, or one payable after a fixed period, satisfies the definition of a bill but not that of a cheque — hence "not all bills are cheques".

Other points of distinction: a cheque does not require acceptance (being payable on demand), whereas a time bill requires the drawee's acceptance; days of grace apply to bills payable after sight/date but not to cheques; and stamp duty is payable on a bill of exchange but not on a cheque.

Q6(a) — Inland/Foreign Bill, Excused Delay, and Compensation on Dishonour [7 Marks]

QUESTION (AS SET ON THE PAPER):

Mr. Shah, a diamond merchant in Mumbai, draws a Bill of Exchange on May 1, 2026, for 50,000 British Pounds upon Mr. Smith, a resident of London. The bill is payable in London "60 days after sight." Mr. Shah endorses the bill to Mr. Binod in Mumbai for the value received.

Due to a sudden and unforeseen grounding of all international courier flights caused by a volcanic eruption, Mr. Binod is unable to send the bill to London for presentment until May 19, 2026. Mr. Binod dispatches the bill on 20th May 2026 once the above bottleneck was removed. It is presented to Mr. Smith on May 24th 2026, who accepts the bill on May 25, 2026, but dishonours it at maturity.

Mr. Binod incurs additional expenses for noting the bill and suffers a loss due to fluctuations in the exchange rate between London and Mumbai. Mr. Binod demands, and Mr. Shah refuses to pay the same, claiming that the delay by Mr. Binod discharged him and that he is only liable for the face value of the bill, not the extra costs. Referring to the applicable provisions of the Negotiable Instruments Act, 1881, and based on the above facts, answer the following with reasons: (i) Whether the instrument as discussed above will be treated as inland bill or foreign bill. (ii) Whether the delay in presentment for acceptance in this case is excusable under the Act. (iii) Determine what components of compensation Mr. Binod can claim from Mr. Shah.

Facts: Mr. Shah (Mumbai) drew a Bill of Exchange on 1 May 2026 for 50,000 GBP upon Mr. Smith (resident of London), payable in London '60 days after sight', and endorsed it to Mr. Binod (Mumbai) for value. A volcanic eruption grounded all international courier flights, so Binod could not send the bill to London until it was dispatched on 20 May 2026 (the bottleneck having cleared); it was presented to Smith on 24 May 2026, accepted on 25 May 2026, but dishonoured at maturity. Binod incurred noting expenses and an exchange-rate loss; Shah refused to pay anything beyond the face value, contending the delay discharged him.

(i) Is the instrument an inland bill or a foreign bill? [Marks: 2]

Classify the bill under Sections 11 and 12.

Provision:

Section 11 defines an 'inland instrument' as one drawn or made in India and made payable in, or drawn upon a person resident in, India. Section 12 provides that any instrument which is not an inland instrument is a 'foreign instrument'.

Application:

The bill was drawn in Mumbai (India) but drawn upon Mr. Smith, a resident of London (not India), and is payable in London (outside India). It therefore fails both limbs of the Sec. 11 test.

Conclusion: The bill is a FOREIGN BILL, since it is neither drawn upon a person resident in India, nor made payable in India.

(ii) Is the delay in presentment for acceptance excusable? [Marks: 2]

Decide whether Binod's delay in presenting the bill is excused under the Act.

Provision:

A bill payable 'after sight' must be presented for acceptance within a reasonable time of being drawn. However, delay in presentment (for acceptance or for payment) is excused where it is caused by circumstances beyond the holder's control and not imputable to his default, negligence, or misconduct; once such circumstances cease, presentment must be made within a reasonable time thereafter.

Application:

The delay from 1 May to 19–20 May 2026 was caused by a sudden and unforeseen grounding of all international courier flights due to a volcanic eruption — an event entirely outside Binod's control, involving no fault or negligence on his part. The moment the obstruction cleared, he dispatched the bill without further delay (20 May), and it reached Smith for presentment within a reasonable time (24 May), who accepted it the next day.

Conclusion: Yes, the delay in presentment for acceptance is excusable, being caused by circumstances beyond Mr. Binod's control, and presentment was made within a reasonable time once the obstruction ceased.

(iii) What compensation can Mr. Binod claim from Mr. Shah? [Marks: 3]

Determine the components of compensation recoverable on dishonour of a foreign bill.

Provision:

On dishonour of a bill, the holder is entitled to recover from any party liable thereon: the amount due on the bill, with interest thereon from the date of dishonour; the expenses properly incurred in presenting, noting, and (where necessary) protesting the bill; and, where the bill is payable at a different place, compensation for the loss occasioned by the variation in the rate of exchange between the place where the bill was payable and the place where it is dishonoured/recovered (the 're-exchange' loss) — this is expressly recognised under the Act's rules as to compensation on dishonoured instruments.

Application:

Since Binod's delay stands excused, Mr. Shah (the drawer) remains fully liable on the bill and cannot escape liability merely on account of the excused delay. Binod is accordingly entitled to claim from Shah the face value of the bill, interest from the date of dishonour, the noting expenses he incurred, and compensation for the loss caused by the exchange-rate fluctuation between London and Mumbai.

Conclusion: Mr. Binod can claim from Mr. Shah: (a) the face value of the bill with interest from the date of dishonour; (b) the noting expenses; and (c) compensation for the exchange-rate (re-exchange) loss. Mr. Shah's contention that he is liable only for the face value is not correct in law.

F. The Limited Liability Partnership Act, 2008 (Total: 6 Marks)

Q2(c) — Small LLP and the Incorporation Document

QUESTION (AS SET ON THE PAPER):

Referring to the provisions of The Limited Liability Partnership Act, 2008 answer the following: (i) The concept of a Small Limited Liability Partnership (Small LLP), introduced by the Limited Liability Partnership (Amendment) Act, 2021, is a special category LLP aimed at reducing compliance burdens for smaller businesses. Enumerate the conditions to be fulfilled by a Limited Liability Partnership to be qualified as a Small LLP. (ii) Incorporation Document is the most important document needed for registration of a Limited Liability Partnership. Discuss the details to be stated in such Incorporation Document.

(i) Conditions for an LLP to qualify as a 'Small LLP', introduced by the LLP (Amendment) Act, 2021. [3 Marks] [Marks: 3]

A Limited Liability Partnership qualifies as a 'Small LLP' [Sec. 2(1)(ta)] where it satisfies the following, either individually or in combination as prescribed:

1. The contribution of the LLP does not exceed ₹25 lakh (or such higher amount, not exceeding ₹5 crore, as may be prescribed).
2. The turnover of the LLP, as per the Statement of Accounts and Solvency for the immediately preceding financial year, does not exceed ₹40 lakh (or such higher amount, not exceeding ₹50 crore, as may be prescribed).
3. Or such other requirements as may be prescribed and satisfied by the LLP.

The classification is intended to reduce compliance burden (lower penalties, simplified filing/audit requirements) for smaller LLPs.

(ii) Details required to be stated in the Incorporation Document of an LLP. [3 Marks] [Marks: 3]

Section 11 requires the incorporation document of an LLP (filed with the Registrar of the State where the registered office is to be situated, in the prescribed form and fee) to state:

1. The name of the LLP.
2. The proposed business of the LLP.
3. The address of the registered office of the LLP.
4. The name and address of each person who is to be a partner of the LLP on incorporation.
5. The name and address of each person who is to act as a designated partner of the LLP on incorporation (where different from the partners).
6. Such other information concerning the proposed LLP as may be prescribed.

It must be accompanied by a statement, made by an advocate, Company Secretary, Chartered Accountant or Cost Accountant in practice (and by a person named as a partner), that all the requirements of the Act and Rules have been complied with in respect of incorporation.

G. Indian Regulatory Framework (Total: 6 Marks)

Q4(c) — Ministry of Home Affairs (Graha Mantralaya) [6 Marks]

QUESTION (AS SET ON THE PAPER):

The Ministry of Home Affairs (Graha Mantralaya) is a premier ministry of the Government of India. State the major responsibilities of the Ministry and enlist various departments which are covered under this Ministry.

State the major responsibilities of the Ministry of Home Affairs and enlist the departments covered under it. [Marks: 6]

Major responsibilities

- Internal security of the country and coordination of law-and-order matters with State Governments.
- Management of India's international borders, border security forces, and border area development.
- Centre-State relations and administration of Union Territories.
- Disaster management, and administration of the freedom-fighters' pension scheme.
- Matters relating to citizenship, immigration, and grant of visas/foreigners' registration.
- Recruitment, training and administration of Central Armed Police Forces.

Departments under the Ministry of Home Affairs

1. Department of Internal Security
2. Department of States
3. Department of Home
4. Department of Jammu, Kashmir and Ladakh Affairs
5. Department of Border Management
6. Department of Official Language